

How to protect yourself?

To safeguard against loan fraud, it is essential to verify lenders, conduct due diligence, and avoid unsecured transactions.

1. Verify lender credentials with RBI and SEBI

Before applying for a loan, check whether the lender is registered with the Reserve Bank of India (RBI) or the Securities and Exchange Board of India (SEBI). Visit the RBI's official website to verify NBFC licenses and ensure the lender is legitimate.

2. Check reviews and user feedback

Before engaging with any financial service, research online reviews and complaints. Websites like Consumer Complaints India, Google Reviews, and RBI's fraud alert list provide valuable insights into fraudulent activities. If a lender has multiple unresolved complaints, it's best to avoid them.

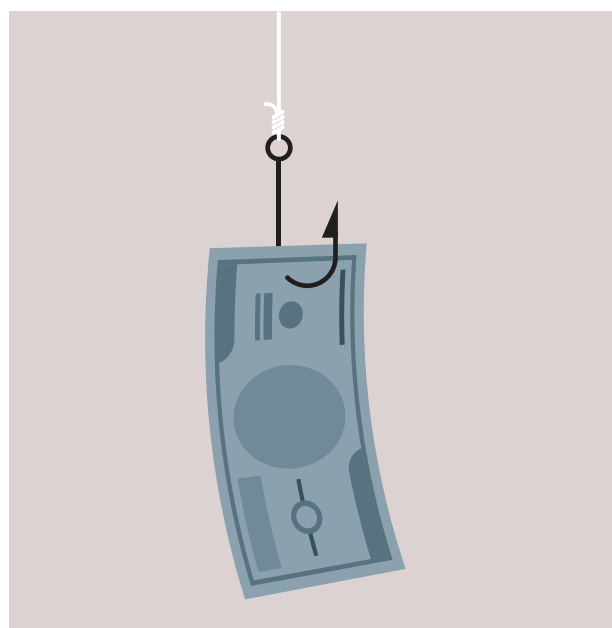
3. Avoid unsecured financial transactions

Never transfer money to an unknown account based on a loan offer. Ensure transactions occur through official banking channels and avoid making payments via:

- UPI IDs or e-wallets
- Direct cash deposits to individual accounts
- Cryptocurrency or international transfers

4. Cross-verify loan offers with the official lender

If you receive a loan offer via WhatsApp, SMS, or email, do not engage immediately. Instead:



- Visit the official website of the bank or NBFC.
- Call their customer care number listed on the website (not from Google search results).
- Confirm whether the loan offer is genuine before proceeding.

5. Be cautious of high-pressure tactics

Scammers often create a false sense of urgency, claiming that the loan offer is limited-time or exclusive. Always take your time to research before making financial commitments.



6. Report fraudulent activities immediately

If you suspect a scam, report it to:

- **National Cyber Crime Portal:** cybercrime.gov.in
- **RBI's Sachet Portal:** sachet.rbi.org.in (for complaints against NBFCs)
- **Local police cyber cells** for financial fraud complaints

By taking these precautions, individuals can avoid falling victim to loan scams and protect their financial well-being.

Final thoughts

Loan and EMI advance scams are on the rise, exploiting people's financial hardships. The promise of easy money often leads victims into the trap of fraudulent lenders. By staying vigilant, verifying financial institutions, and avoiding upfront payments, you can safeguard yourself from financial fraud.

If an offer seems too good to be true, it probably is. Always conduct thorough research, cross-check lender credentials, and report suspicious activities to authorities. Financial security begins with awareness—stay informed, stay cautious, and protect your hard-earned money. **d**